EXECUTIVE SUMMARY

1. Introduction

The Municipality of Ballesteros was created on December 18, 1911 thru Executive Order No. 79 and was inaugurated on January 01, 1912. It was named after Father Gregorio Ballesteros, a Filipino priest. The Municipality of Ballesteros is committed to serve its constituents with the mission "to attain peace, unity and progress through effective and efficient local government operation and administration that will redound to the sustained delivery of basic services to the people.

The audit covered the accounts and operations of the Municipality of Ballesteros for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, Compliance and Performance Audit were conducted to achieve these audit objectives.

2. Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2017, were P221,146,141.26, P65,342,949.42 and P155,803,191.42, with an increase of 15.57%, 18.80% and 14.27%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P103,374,155.22 and P81,823,550.82, which increase by 11.46% and 13.16% respectively from last year's figures.

Particulars	2017	2016	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	P221,146,141.26	P191,353,717.82	P 29,792,423.44	15.57%
Liabilities	65,342,949.42	55,002,111.68	10,340,837.74	18.80%
Govt. Equity	155,803,191.84	136,351,606.14	19,451,585.70	14.27%
Financial Performance				
Income	P103,374,155.22	P 92,742,413.30	P10,631,741.92	11.46%
Expense	81,823,550.82	72,307,460.13	9,516,390.69	13.16%
Appropriations, Allotments and Obligation				
Appropriations	P131,719,864.05	P 104,691,419.80	P27,028,444.25	25.82%
Allotments	131,719,864.05	104,691,419.80	27,028,444.25	25.82%
Obligations	64,722,200.70	78,893,361.76	(14,171,161.06)	17.96%

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

Particulars	2017	2016	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	P 657,164.81	P 349,574.81	P 307,590.00
Due from GOCCs	183,840.87	183,840.87	-
Due from LGUs	2,449,212.56	5,208,837.14	(2,759,624.58)
Due from NGOs/POs	858,634.00	511,634.00	347,000.00
Others	-	-	-
TOTAL	**4,148,852.24**	**6,253,886.82**	**(2,105,034.58)**
Fund Received from Other Agencies:			
Due to Other NGAs	20,375,665.61	15,497,991.40	4,877,674.21
Due to LGUs	2,000,114.26	2,891,847.86	(891,733.60)
Due to NGOs/POs	-	-	-
Others	-	-	-
TOTAL	**22,375,779.87**	**18,389,839.26**	**3,985,940.61**

3. Independent Auditor's Opinion on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the Financial Statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at P90,555,440.54 (net of depreciation) could not be ascertained due to the failure of the LGU officials concerned to conduct physical inventory of all properties and absence of property and equipment ledger cards maintained.

4. Summary of Audit Observations and Recommendations

For the CY 2017, the Municipality of Ballesteros, Cagayan thru the leadership of Honorable Mayor Vincent G. Unite and the member of the Legislative Body and the Executive Staff, received the BUB-Best Implementer (1-NGA Category) given by the Regional Poverty Reduction Action Team (RPRAT), Region 2.

However, the audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality;

1. The validity, existence and correctness of the Property, Plant and Equipment accounts with net carrying value amounting to P90,555,440.54 as at December 31, 2017 could not be ascertained due to failure of the agency to conduct annual physical inventory of properties as of year-end which is

contrary to Section 156 of COA Circular No. 92-386 and Section 124 of the New Government Accounting System (NGAS) Manual for Local Government Units.

We recommended that the Inventory Committee conduct physical inventory of the properties of the municipality and to prepare a report thereon to be submitted to the Municipal Accountant for reconciliation with that of the accounting records. Submit the same to the auditor concerned pursuant to COA Circular No. 92-386 dated October 20, 1992, Section 124 of the NGAS Manual and Section 122 of P. D. 1445.

2. The Sagana at Ligtas na Tubig Para sa Lahat Program (SALINTUBIG) amounting to P8,441,900.00 remained unutilized notwithstanding the urgent need and nature of the fund and the specific purpose for its release thus, depriving the beneficiaries of the immediate benefit from the intended purpose.

   We recommended that Management implement the SALINTUBIG Fund with urgency considering that these are priority projects. Make representation with the Department of Health as the funding source for possible continuance of the abandoned project. Management is also enjoined to comply with the existing laws, rules and regulations with regard to the utilization of financial assistance to ensure and promote delivery of services to the constituents of the locality.

3. The Municipality of Ballesteros had appropriated a minimal amount of P50,000.00 for programs, projects and activities (PPAs) for children for CY 2017 which is less than 1% of their Internal Revenue Allotment of P92,785,500.00 contrary to DILG Memorandum Circular No. 2012-120 dated July 4, 2012, thus the Local Council for the Protection of Children was not fully strengthen and implement its PPAs.

   We recommended that Management appropriate 1% or more, if necessary, of the LGU's Internal Revenue Allotment for the strengthening and implementation of the programs, projects and activities of the Local Council for the Protection of Children.

4. The slow implementation of various development projects programmed under the 20% development fund for current and continuing appropriations resulted in an unutilized amount of P19,369,362.72, thus depriving the constituents of the benefits to be derived therefrom which adversely affected the efficiency of the municipality towards the achievement of its goals.

   We recommended that Management:

a. Make strategic action plan on the proper scheduling in the implementation of the programmed projects /programs to ensure its full implementation as well as utilize the fund budgeted thereof.
b. Review whether or not the prior years' unimplemented projects are still appropriate for the needs of the constituents.
c. Ensure that adequate funds are available for the implementation of the continuing and current years' development programs.
d. Require the Municipal Planning and Development Officer to submit the list of projects not yet implemented at year-end for prioritization in the ensuing year.

5. The municipality could have earned additional income from Dry Goods Center (Green Mall) stalls by as much of P288,000.00 had it ensure to maximize its operation. Inadequate monitoring of monthly rental of each stall holders in the municipality's public market and dry goods center, hence the difficulty to determine delinquent stallholders at a given time.

For the above observations, we recommended that the Management:

1. Formulate plans and adopt policies and strategies on intensive marketing and promotional activities to have all the spaces rented out in the dry goods center.

2. Allocate additional fund for the improvement of the dry goods center to attract customers and prospective lessees.

3. Direct the municipal Treasurer to:

a. Maintain Index of payments of each stallholder of the public market and dry goods center to determine delinquent stall holder at a given time; and
b. Issue monthly billing statement to remind the Lessees of their obligations.
c. Enforce penalties/surcharges for late payment and/or delinquent.

5. Summary of Total Suspensions, Disallowances and Charges as of Year-End

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	116,827.68	-	-	116,827.68	-
Current Year	-	-	-	-	-
Total	**116,827.68**	**-**	**-**	**116,827.68**	**-**
Disallowances					

Prior Years	581,022.77	-	44,562.50	536,460.27	7.67%
Current Year	-	-	-	-	
Total	**581,022.77**	**-**	**44,562.50**	**536,460.27**	7.67%
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the fourteen (14) audit recommendations embodied in the previous Annual Audit Report, six (6) were fully implemented, three (3) were partially implemented and the remaining five (5) were not implemented.